

DEMO.PPI.REC.19/02.14.006/2025-26

Directions on Prepaid Payment Instruments

In exercise of the powers conferred under the applicable statute, the following directions are issued. These directions shall come into force with immediate effect and shall supersede earlier instructions on the subject to the extent that they are inconsistent.

1. Classification

Prepaid payment instruments shall be classified as small instruments issued after obtaining minimum details of the holder, and as full instruments issued after completing customer due diligence.

2. Small instrument limits

The amount loaded in a small prepaid payment instrument shall not exceed ten thousand rupees in any month, and the total amount loaded during a financial year shall not exceed one lakh twenty thousand rupees. The outstanding balance shall not exceed ten thousand rupees at any time.

3. Conversion

A small prepaid payment instrument shall be converted into a full instrument within twenty four months of issue, failing which no further credit shall be permitted, although the holder may continue to use the existing balance.

4. Full instrument limits

The outstanding balance in a full prepaid payment instrument shall not exceed two lakh rupees at any point of time. Funds transfer from a full instrument shall be permitted up to two lakh rupees per month per holder.

5. Interoperability

Prepaid payment instruments in the form of wallets shall be made interoperable through the unified payments interface. Instruments in the form of cards shall be interoperable through the card networks.

6. Validity and forfeiture

Prepaid payment instruments shall have a minimum validity of one year from the date of last loading. The holder shall be given a reminder at least forty five days before expiry. The outstanding balance shall not be forfeited without such reminder.

7. Escrow account

Non bank issuers shall maintain the outstanding balance in an escrow account with a scheduled commercial bank. No other amount shall be credited to the escrow account.